Table 5.7 Stock Specific Error Analysis

	LnMktCap	LnPrice	Spreads	Beta	T.E.
Error²					
Est.	− 99.65	− 158.30	5.72	267.28	131.74
S.E.	8.75	15.64	0.62	37.03	11.54
t-stat	− 11.39	− 10.12	9.28	7.22	11.41
Z-Score²					
Est.	− 0.011	− 0.015	0.001	0.019	0.011
S.E.	0.002	0.003	0.000	0.008	0.002
t-stat	− 6.046	− 4.647	7.327	2.544	4.715

and academic reports, the error term is negatively related to market cap and price. Stocks with higher market capitalization and higher prices will have lower market impact cost. The error term is also positively related to spreads, beta, and tracking error (as a proxy for idiosyncratic risk). This is consistent with our expectations. Higher spreads are an indication of less stable trading patterns and more intraday risk. Higher beta is an indication of higher risk stocks and a higher level of price sensitivity. Higher tracking error or idiosyncratic risk is an indication of stock specific risk and potentially higher information content and permanent market impact cost.

This error analysis provides some valuable insight and potential variables for analysts to incorporate into the model to improve its accuracy. The results of the regression coefficients for the stock specific analysis for the error squared and the z-score squared are shown in Table 5.7.